

|  |  |  |  |  |  |  |  |  |  |
|--|--|--|--|--|--|--|--|--|--|
|  |  |  |  |  |  |  |  |  |  |
|--|--|--|--|--|--|--|--|--|--|

**GNIOT Institute of Management Studies – PGDM (Batch 2021-23)**

**(TRIMESTER – V) END TERM EXAMINATION, DECEMBER - 2022**

**MARITIME LOGISTICS & DOCUMENTATION**

[Time: 2 Hours 30 Minutes]

[Maximum Marks: 100]

**INSTRUCTIONS:**

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

**SECTION-A**

**(Short Answer Type Questions, do not exceed 100 words)**

**Q.1. Write short notes on the following:**

**(10×3=30)**

- (a) Mention any three characteristics of shipping transport.
- (b) Regulations regarding dangerous and polluting cargoes.
- (c) Objectives of Maritime Logistics.
- (d) Demurrage in Maritime Logistics.
- (e) Write the differences between freight brokers and freight agents?
- (f) Different types of cargo insurances.
- (g) What is protection and indemnity in marine insurance?
- (h) Write three distinctions between Indian and Chinese Maritime.
- (i) Standard dimensions of containers.
- (j) Factors that affect the choice of shipping.

**SECTION-B**

**(Long Answer Type Questions)**

**Attempt all questions of the following:**

**(4×10=40)**

**Q.2. (a) Explain the five factors that determine international freight rates.**

**OR**

**(b) Write a note on top three major ports of India.**

**Q.3. (a) Who are the charterers in shipping business? Briefly describe different types of charterers.**

**OR**

**(b) Discuss the various measures that countries are adopting to avoid dangerous and polluting cargoes.**

**Q.4. (a) Describe any five types of containers.**

**OR**

**(b) Explain the different types of marine insurance and policies. Give examples.**

**Q.5. (a) Discuss the prerequisites and challenges faced in agriculture export-import.**

**OR**

**(b) Illustrate with examples various types of letter of credits.**

## SECTION-C

**Q.6. Attempt all parts of the following:**

**(2×15=30)**

Ocean freight shipping is one of the oldest, safest and most economical options for freight transportation. While cargo losses on the ocean have continued to trend downward, accidents and what the industry calls “Acts of God” are possible. To mitigate these risks, one should always purchase cargo insurance to cover any exclusions or underpayments resulting from laws like The Carriage of Goods by Sea Act (COGSA), which limit the liability of carriers and the amounts carriers must pay in the event of cargo loss or damage.

One type of available coverage is called “All Risk” insurance and it’s the broadest form of coverage available in the marketplace for shippers. It is a specialized insurance coverage designed to protect goods against all risks of physical loss or damage from any external cause during international and domestic transit. Coverage applies to all modes of transit throughout the supply chain on a global basis, and in the case of Crowley’s “All Risk” Cargo Insurance product, carries a zero deductible for approved, general merchandise.

Customer Martex Farms had two reefer units loaded with mangoes aboard the barge Fortaleza for port-to-door transit from San Juan to Philadelphia when the voyage encountered severe weather from hurricane Joaquin. The powerpack was damaged, triggering a safety shutoff of the power supply to the reefer units. This loss of power coupled with the additional days at sea spent avoiding the storm, caused the mangoes’ condition to deteriorate.

Under COGSA, Crowley had no liability for the mangoes’ condition. The shipper had however included “All Risk” cargo insurance in their contract allowing them to make a claim for their loss in full.

Upon receipt of their damaged mangoes, Martex Farms gave notice to Crowley, using the online reporting tool, and a survey of the damaged cargo was arranged by Crowley within 48 hours. The customer subsequently submitted their formal claim comprising of:

- Cost of mangoes,
- Freight charges,
- Disposal costs for the unusable produce,
- Minus a credit for the monies received from the secondary market for the salvageable fruit.

Following research into the limit of insurance purchased and the documentation provided, the claims were settled/paid in full. Since the cause of the loss was an Act of God/Nature, Crowley as the ocean carrier had no liability, but by electing the protection of the convenient Crowley All Risk cargo insurance, their \$50,000 in losses were covered in full.

**6(a)** Examine the case and suggest how the company can mitigate the risks. What policies must be adopted to protect cargoes.

**6(b)** What is the importance of protecting cargo along the supply chain? (Refer the case)